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2027 CYCLE

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CUET UG

Accountancy

Accounting for Partnership

Official Syllabus Unit I · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Accountancy syllabus 2026, the current 2027 baseline, Unit I)	Skills the questions test
Nature of Partnership Firm	Nature of Partnership Firm: Partnership deed (meaning, importance).	Spotting deed clauses, applying the Act's defaults when the deed is silent.
Fixed v/s Fluctuating capital	Accounts of Partnership: Fixed v/s Fluctuating capital.	Choosing the right account system, posting adjustments, reading closing balances.
Division of profit among partners	Accounts of Partnership: Division of profit among partners.	Interest on capital (time-weighted), interest on drawings (product and average-period methods), salary, commission.
Profit and Loss Appropriation account	Accounts of Partnership: Profit and Loss Appropriation account.	Preparing the account, separating charges from appropriations, finding divisible profit.
Guarantee of profit to a partner	Accounts of Partnership: Guarantee of profit to a partner.	Computing the deficiency and sharing it among guarantors in the correct ratio.
Past adjustments	Accounts of Partnership: Past adjustments.	Passing one combined adjustment entry through current accounts after the books close.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Accountancy paper (subject code 301) maps strictly to NCERT Class 12, and Unit I supplies the base that every later partnership unit (reconstitution, dissolution) builds on.

The Partnership Firm and Its Rulebook

Two friends run a cafe together. One brings more money, the other works longer hours, and at the end of the year a question appears on the whiteboard: who gets how much of the profit? Partnership accounting exists to answer that question fairly, every single year, without an argument. The firm's first protection is a written **partnership deed** — the rulebook both friends sign on day one. This section covers what a deed is, why it matters, and what happens when it says nothing.

- **The legal definition:** partnership is the relation between persons who have agreed to share the profits of a business carried on by all, or by any of them acting for all (**Indian Partnership Act, 1932**, Section 4).
- **Two or more persons:** the minimum is 2 partners; the maximum is capped at 50 under the rules made for the Companies Act, 2013.
- **Agreement, not registration:** the partnership is born from an agreement — oral or written. A written deed is simply the version that can be proved in a dispute.
- **Profit sharing is essential:** sharing of profits is the strongest evidence of partnership, but mutual agency — every partner can bind the firm by acting for it — is what legally separates a partnership from a group of co-owners.

What the Partnership Deed settles

Clause	What it settles before the first transaction
Names and address	Firm name, place of business, nature of the business, duration if fixed.
Capital	How much each partner contributes, and whether capital must stay fixed.
Profit-sharing ratio	The exact ratio in which profits (and losses) are divided.
Salaries and commission	Any monthly salary or commission a partner earns from the firm.
Interest on capital	The rate the firm pays partners on the money they keep invested.
Interest on drawings	The rate the firm charges when partners withdraw money early.
Drawings limits	How much a partner may withdraw, and how often.
Loans and disputes	Interest on a partner's loan to the firm, and how disputes are settled.

- **Why the deed matters:** it is written proof of every agreed term, so nobody can quietly change the ratio, deny a salary, or inflate an interest claim later.
- **It prevents disputes:** interest rates, salaries and ratios are the three most common causes of partner conflicts — the deed fixes all three in advance.
- **It keeps accounts smooth:** the accountant knows exactly which items to appropriate and at which rates, without guessing the partners' intentions.

When the deed is silent: the Act steps in

A deed is optional; the law is not. Wherever the deed says nothing, the **Indian Partnership Act, 1932** supplies the default rule — and these defaults are a favourite source of one-mark checks because students memorise them wrong.

Point the deed skipped	Default rule that applies
Profit-sharing ratio	Profits and losses are shared **equally**, whatever each partner contributed.
Interest on capital	**Not allowed.** No partner earns interest on capital.
Salary or commission	**Not allowed.** Partners work without remuneration.
Interest on drawings	**Not charged.** Withdrawals cost the partner nothing extra.
Interest on a partner's loan	**Allowed at 6% per annum** — it is a **charge**, paid even in a loss year.

EVERYDAY EXAMPLE — THE MATCH RULEBOOK

Before a friendly cricket match, both teams agree: 8 overs, one bouncer per over, ties shared. Nobody argues in the 5th over, because the rules were signed before the first ball. The **partnership deed** is that pre-match rulebook — and where the rulebook has no clause, the umpire (the Partnership Act) applies the standard rule, not whatever a player demands mid-game.

WORKED EXAMPLE — LOAN INTEREST VS CAPITAL INTEREST

A and B are partners with capitals of ₹1,00,000 each. The deed is silent on interest, and A has also lent ₹50,000 to the firm as a loan.

- **A claims 6% interest on capital:** ₹1,00,000 × 6% = ₹6,000 — **denied.** The deed is silent, so the Act gives no interest on capital.
- **A's loan earns interest automatically:** ₹50,000 × 6/100 × 12/12 = **₹3,000**, a **charge** against profit — it is paid even if the firm makes a loss.

Keep the two "6%" ideas apart: capital interest exists **only if the deed provides it**; loan interest exists **by default**.

Capital Accounts: Fixed vs Fluctuating

Every rupee a partner keeps in the firm needs a home, and accountancy offers two floor plans. In the **fixed** system the partner's capital account never moves from the agreed figure, and a second account — the **current account** — absorbs all the yearly ups and downs. In the **fluctuating**

system one single account does every job, rising and falling year after year. Both systems reach identical answers; they simply file the same entries in different drawers.

- **Fixed system — two accounts:** a **Capital Account** stays constant at the agreed amount; a **Current Account** collects interest, salary, drawings and profit share.
- **Fluctuating system — one account:** the Capital Account itself carries every adjustment, so its balance changes every year (this is the default system when nothing is specified).
- **Fixed capital rarely moves:** it changes only when a partner **permanently** adds or withdraws capital — never for drawings or yearly appropriations.
- **A current account may go negative:** it can show a **debit balance** (the partner owes the firm). A fixed Capital Account cannot — except on dissolution.

The two systems, side by side

Point	Fixed capital	Fluctuating capital
Number of accounts	Two — Capital + Current	One — Capital only
Capital balance	Stays constant year after year	Changes every year
Where adjustments go	All in the Current Account	All in the Capital Account
Debit balance	Capital: never; Current: allowed	Allowed in the Capital Account
Which is more common	Chosen for clarity and control	The default in practice

Reading the account formats

Fixed Capital Account (only permanent capital moves appear):

Dr. Particulars	₹	Cr. Particulars	₹
To Cash A/c — capital withdrawn permanently	—	By Balance b/d	—
To Balance c/d	—	By Cash A/c — fresh capital added	—
		By Balance c/d	—

Current Account (everything yearly lands here):

Dr. Particulars	₹	Cr. Particulars	₹
To Drawings	—	By Balance b/d (if credit)	—
To Interest on Drawings	—	By Interest on Capital	—

Dr. Particulars	₹	Cr. Particulars	₹
To Balance c/d (debit balance, if any)	—	By Salary / Commission	—
		By Profit share (appropriation)	—
		By Balance c/d (credit balance)	—

The six yearly journal entries

Yearly item	Debit	Credit
Interest on capital	P&L Appropriation A/c	Partner's Capital/Current A/c
Interest on drawings	Partner's Capital/Current A/c	P&L Appropriation A/c
Partner's salary / commission	P&L Appropriation A/c	Partner's Capital/Current A/c
Transfer to general reserve	P&L Appropriation A/c	General Reserve A/c
Share of divisible profit	P&L Appropriation A/c	Partner's Capital/Current A/c
Partner's loan interest (a charge)	Interest on Loan A/c → P&L A/c	Partner's Loan A/c

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Notice the mirror pattern: items the firm **gives** partners are debited to Appropriation; items partners **give back** the firm (interest on their drawings) are credited to Appropriation. That single sentence drives the whole account in the next section.

WORKED EXAMPLE — SAME FACTS, BOTH SYSTEMS

A's capital is ₹1,00,000. During the year: interest on capital ₹6,000, salary ₹10,000, drawings ₹20,000, interest on drawings ₹600, share of profit ₹30,000.

- **Fixed system:** the Capital Account still reads **₹1,00,000**. The Current Account closes at: 6,000 + 10,000 + 30,000 − 20,000 − 600 = **₹25,400 credit**.
- **Fluctuating system:** the single Capital Account closes at: 1,00,000 + 6,000 + 10,000 + 30,000 − 20,000 − 600 = **₹1,25,400 credit**.

Same entries, different drawers — and ₹25,400 + ₹1,00,000 = ₹1,25,400, which is exactly why both systems are called equivalent.

Profit and Loss Appropriation Account

The Profit and Loss Account tells you **how much** profit the firm earned. It stops there. What happens next — paying partners their interest and salaries, topping up the reserve, and splitting the rest — happens in a second, smaller account: the **Profit and Loss Appropriation Account**. Think of it as the firm's dividend day: the earned profit walks in on the credit side and walks out distributed among the partners and reserves.

- **It is an extension of the P&L Account:** appropriation means "setting aside for a purpose", so this account only **distributes** profit — it never earns one.
- **Credit side — money coming in:** net profit brought down from the P&L Account, plus interest charged on partners' drawings.
- **Debit side — money being set aside:** interest on capital, partners' salaries and commission, and transfers to general reserve.
- **The balancing figure is the prize:** whatever remains after the debit items is the **divisible profit**, shared in the agreed ratio.

Charge vs appropriation: the one distinction everything rests on

Point	Charge against profit	Appropriation of profit
When paid	Compulsory — even in a loss year	Only when there is profit to share
Which account	P&L Account (before profit is found)	P&L Appropriation (after profit is found)
Everyday examples	Interest on a partner's **loan**; rent to a partner	Interest on **capital**, salary, commission, reserve
Effect	Reduces net profit itself	Divides the net profit already found

The official format

Dr. Particulars	₹	Cr. Particulars	₹
To Interest on Capital	—	By Net Profit b/d (from P&L)	—
To Partner's Salary	—	By Interest on Drawings	—
To Partner's Commission	—		
To General Reserve	—		
To Divisible profit: Partner's Capital/Current A/cs	—		

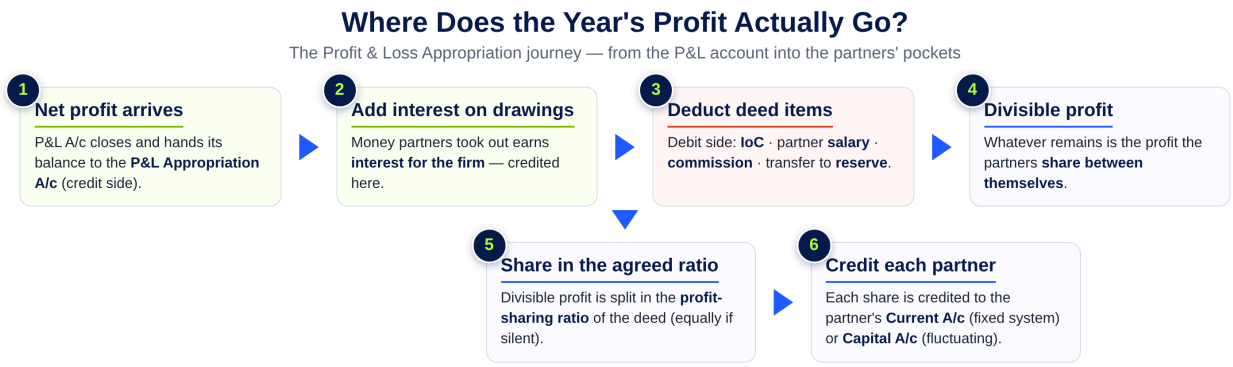


Figure 1: The six-stop journey of the year's profit — from the P&L Account into the partners' accounts.

The journal entries behind the account

Event	Debit	Credit
Profit for the year arrives	Profit & Loss A/c	P&L Appropriation A/c
Interest on capital provided	P&L Appropriation A/c	Partner's Capital/Current A/c
Interest on drawings charged	Partner's Capital/Current A/c	P&L Appropriation A/c
Salary or commission allowed	P&L Appropriation A/c	Partner's Capital/Current A/c
Reserve strengthened	P&L Appropriation A/c	General Reserve A/c
Divisible profit shared	P&L Appropriation A/c	Partner's Capital/Current A/c

COMMISSION TO A PARTNER OR MANAGER — BOTH VERSIONS

$$\text{Before charging commission:} \quad C = \text{Rate} \times \frac{\text{Net profit}}{100}$$

$$\text{After charging commission:} \quad C = \frac{\text{Rate}}{100 + \text{Rate}} \times \text{Net profit}$$

Check the difference on a profit of ₹1,10,000 at 10%: **before** charge — 10/100 × 1,10,000 = ₹11,000; **after** charge — 10/110 × 1,10,000 = **₹10,000**. "After charging" always gives the smaller figure, because the commission is imagined as already sitting inside the profit.

WORKED EXAMPLE 1 — A CLEAN APPROPRIATION ACCOUNT

A and B share profits 3:2. Capitals: A ₹1,50,000, B ₹1,00,000. The deed allows interest on capital at 6% p.a. Profit for the year: ₹65,000. No other items apply.

- **Interest on capital:** A — 1,50,000 × 6/100 = ₹9,000; B — 1,00,000 × 6/100 = ₹6,000.

- **Total appropriations:** 9,000 + 6,000 = ₹15,000.
- **Divisible profit:** 65,000 − 15,000 = **₹50,000**.
- **Shared 3:2:** A — 50,000 × 3/5 = **₹30,000**; B — 50,000 × 2/5 = **₹20,000**.

WORKED EXAMPLE 2 — EVERY ITEM AT ONCE

A and B share profits 3:2. Capitals: A ₹2,00,000, B ₹1,00,000. Deed terms: interest on capital 6% p.a.; B a salary of ₹500 per month; interest on drawings 6% p.a. Drawings: A ₹20,000, B ₹20,000 (dates not given). Profit for the year: ₹92,800.

1. **Interest on capital:** A — 2,00,000 × 6/100 = ₹12,000; B — 1,00,000 × 6/100 = ₹6,000.
2. **Salary to B:** 500 × 12 = ₹6,000.
3. **Interest on drawings** (dates not given → average 6 months): A — 20,000 × 6/100 × 6/12 = ₹600; B — ₹600. Total ₹1,200.
4. **Credit side total:** 92,800 + 1,200 = ₹94,000.
5. **Debit side total:** 12,000 + 6,000 + 6,000 = ₹24,000.
6. **Divisible profit:** 94,000 − 24,000 = **₹70,000** → A gets 70,000 × 3/5 = **₹42,000**, B gets 70,000 × 2/5 = **₹28,000**.

Dr. Particulars	₹	Cr. Particulars	₹
To Interest on Capital — A 12,000; B 6,000	18,000	By Net Profit b/d	92,800
To Salary to B	6,000	By Interest on Drawings — A 600; B 600	1,200
To Divisible profit — A 42,000; B 28,000	70,000		
	94,000		94,000

Dividing Profits: the Four Adjusters

Before the divisible profit is split, the deed usually lets three private arrangements play out first: partners **earn** interest on the capital they leave in the firm, **pay** interest on the money they take out, and may **draw** a salary or commission. Each one shifts part of the final share from one partner to another, so every rate and every day-count matters. This section works through each adjuster with the exact technique used in computations.

Interest on capital: pay for leaving money in

- **Base amount:** interest is computed on the **opening capital** — the balance as on 1 April — unless the question states otherwise.
- **Time-weighted additions:** capital added during the year earns interest only from the date it arrived (use months/12).

- **It is an appropriation:** interest on capital appears on the debit side of the P&L Appropriation Account, and is paid only when profit exists.

WORKED EXAMPLE — CAPITAL ADDED MID-YEAR

D's opening capital is ₹2,00,000. On 1 October he introduces a further ₹50,000. The deed allows interest on capital at 6% p.a.

- On opening capital: 2,00,000 × 6/100 = **₹12,000** (full year).
- On the addition: 50,000 × 6/100 × 6/12 = **₹1,500** (October to March only).
- **Total interest on capital: 12,000 + 1,500 = ₹13,500.**

Interest on drawings: charge for taking money out

- **Direction:** the partner is debited; the P&L Appropriation Account is credited.
- **Fixed amounts at equal gaps:** use the **average period** shortcut — no date list needed.
- **Irregular amounts and dates:** use the **product method** instead.

Drawing pattern	Beginning	Middle	End
Monthly (12 drawings)	6.5 months	6 months	5.5 months
Quarterly (4 drawings)	10.5 months	7.5 months	4.5 months

INTEREST ON DRAWINGS — BOTH METHODS

$$\text{Average-period method:}\quad \text{IoD} = \text{Total drawings} \times \frac{\text{Rate}}{100} \times \frac{\text{Average period}}{12}$$

$$\text{Product method:}\quad \text{IoD} = \Sigma(\text{Drawing} \times \text{months left in the year}) \times \frac{\text{Rate}}{100} \times \frac{1}{12}$$

Both give the same answer when drawings are equal and evenly spaced — the product method simply shows its working month by month.

WORKED EXAMPLE — ONE DRAWING, TWO ROUTES

C draws ₹5,000 on the last day of every quarter. Interest on drawings is 6% p.a.

- **Product route:** drawings made at the end of March, June, September and December stay un-used for 9, 6, 3 and 0 months. Products: 5,000 × (9 + 6 + 3 + 0)

  5,000 × 18 = 90,000. Interest = 90,000 × 6/100 × 1/12 = ₹450.

- **Shortcut route:** end-of-quarter drawings → average period 4.5 months. Interest = 5,000 × 4 × 6/100 × 4.5/12 = 20,000 × 6/100 × 4.5/12 = **₹450**.

Same ₹450 from both routes — in the exam, pick the shortcut unless the dates are irregular.

Salary and commission

- **Salary to a partner:** a fixed monthly amount credited to the partner from the Appropriation Account — ₹500 per month means ₹6,000 a year, never ₹500.
- **Commission:** use the two-formula rule from the blue box above; read the deed's words "before" or "after" charging carefully.
- **Both are appropriations:** they are paid only out of profit, and never reduce the profit figure shown by the P&L Account.

Guarantee of Profit to a Partner

A new partner joins a running firm and is nervous: what if the year turns bad and my share collapses? So the others **guarantee** a floor — "whatever happens, you will get at least ₹21,000." That promise is a **guarantee of profit**, and it reshapes the distribution table whenever the ordinary share falls below the promised figure. The arithmetic is small; the ratio logic is where marks are won and lost.

- **Who can give it:** the firm as a whole (all partners), **some** of the partners, or even an outside party such as a retiring partner.
- **Deficiency:** the gap between the guaranteed amount and the partner's actual share — deficiency = guaranteed amount − actual share.
- **Who bears it:** the guarantors, in **their own agreed ratio** — or, when the question says so, in the **sacrificing ratio** (the share they gave up for the guaranteed partner).
- **The total never changes:** the guarantee only moves money between partners; the divisible profit distributed stays the same.

Guarantee given by	Who bears the deficiency	Where it shows up
The firm (all partners)	All partners in their agreed ratio	Every non-guaranteed partner's share falls
Some partners only	Only those partners, in their ratio	Outsiders and non-guarantors are untouched
A third party	That party directly	Partners' shares stay unchanged

Solve every guarantee question with the same four steps:

1. **Distribute** the divisible profit in the normal ratio — ignore the guarantee.
2. **Compare** the guaranteed partner's share with the promised amount.
3. **Find the deficiency** — guaranteed amount minus the actual share.
4. **Debit the guarantors** in the stated ratio and **credit** the guaranteed partner.

WORKED EXAMPLE — THE FIRM GUARANTEES A

A, B and C share profits equally (1:1:1). Profit for the year: ₹45,000. The firm guarantees A a minimum of ₹21,000.

- **Normal division:** 45,000 ÷ 3 = ₹15,000 each.
- **A's shortfall:** 21,000 − 15,000 = **deficiency ₹6,000**, borne by B and C equally (their own ratio is 1:1) — ₹3,000 each.
- **Final shares:** A — 15,000 + 6,000 = **₹21,000**; B — 15,000 − 3,000 = **₹12,000**; C — **₹12,000**.

Journal: B's Current A/c Dr ₹3,000; C's Current A/c Dr ₹3,000 — to A's Current A/c ₹6,000.
Check: 21,000 + 12,000 + 12,000 = ₹45,000 ✓

- **Variant — one guarantor:** if only B had guaranteed A, the whole ₹6,000 deficiency would come out of B alone, leaving B with ₹9,000 and C untouched at ₹15,000.
- **Variant — guarantee plus interest:** interest on capital and other entitlements are appropriated **first**; the guarantee applies to the partner's **final** total share (including such interest) unless the deed states otherwise.

Past Adjustments: Fixing the Closed Year

The accounts are closed, profits are shared, everyone has signed — and then, while revising, someone spots it: **interest on capital was never provided**, or a salary was skipped, or the profits were divided in the wrong ratio. Reopening every account for one forgotten entry would be chaos. Accountancy's answer is elegant: work out each partner's **net** gain or loss from the correction and pass **one combined journal entry** through the partners' current accounts. Nothing else in the books moves.

- **When it applies:** an omission or error is discovered **after** the final accounts are prepared and profits are already distributed.
- **Nothing is reopened:** no P&L, no appropriation account — only the partners' **current accounts** (or capital accounts, in the fluctuating system) are touched.
- **One partner's loss is another's gain:** the total correction is zero; the entry only moves the amount from the over-credited partner to the under-credited one.

The four-step routine

1. **Write what was actually done** — the distribution as recorded in the books.
2. **Write what should have been done** — recompute the correct distribution with the omitted or mis-stated item included.
3. **Compare partner by partner** — a partner who received **more** than the correct figure is debited; one who received **less** is credited.
4. **Pass a single journal entry:** debit the gainers, credit the losers, through current accounts.

WORKED EXAMPLE — THE FORGOTTEN INTEREST ON CAPITAL

A and B share profits 3:2, capitals ₹1,00,000 and ₹80,000. Profit of ₹50,800 was credited to them in the 3:2 ratio. Later, it is found that interest on capital at 6% p.a. was omitted. Fix it.

- **As recorded:** A — 50,800 × 3/5 = ₹30,480; B — 50,800 × 2/5 = ₹20,320.

- **What was missed:** interest on capital — A: 1,00,000 × 6/100 = ₹6,000; B: 80,000 × 6/100 = ₹4,800.
- **Correct picture:** divisible profit = 50,800 − 10,800 = ₹40,000, shared 3:2 — A ₹24,000, B ₹16,000. Totals: A — 6,000 + 24,000 = ₹30,000; B — 4,800 + 16,000

₹20,800.

- **Net effect:** A received ₹480 **too much** (30,480 − 30,000); B received ₹480 **too little** (20,800 − 20,320).

Partner	As recorded ₹	Correct ₹	Effect
A	30,480	30,000	Debit ₹480
B	20,320	20,800	Credit ₹480

Single adjustment entry: A's Current A/c Dr ₹480 — to B's Current A/c ₹480.

- **Same routine, any omission:** interest on drawings omitted, salary skipped, commission mis-computed, or a wrong ratio used — always the same four steps and one closing entry.
- **Two common openings for the trap:** the question may instead say "interest on capital was provided **at a wrong rate**" or "profits were shared in the wrong ratio" — recompute both sides exactly as in the example and the table falls out.

Journal Entry Cheatsheet: the Whole Unit in One Table

JOURNAL ENTRY CHEATSHEET — UNIT I

Item	Debit	Credit
Profit for the year arrives	Profit & Loss A/c	P&L Appropriation A/c
Interest on capital (6% deed rate)	P&L Appropriation A/c	Partner's Capital/Current A/c
Interest on drawings (charge partner)	Partner's Capital/Current A/c	P&L Appropriation A/c
Partner's salary / commission	P&L Appropriation A/c	Partner's Capital/Current A/c
Transfer to general reserve	P&L Appropriation A/c	General Reserve A/c
Divisible profit shared	P&L Appropriation A/c	Partner's Capital/Current A/c
Interest on partner's **loan** (charge, 6% default)	Interest on Loan A/c, then P&L A/c	Partner's Loan A/c

Item	Debit	Credit
Past-adjustment correction	Gainer partner's Current A/c	Loser partner's Current A/c

Ratio rules to carry everywhere: deed silent → equal shares, no interest on capital, no salary, no interest on drawings; drawings average periods — monthly 6.5 / 6 / 5.5, quarterly 10.5 / 7.5 / 4.5 (beginning / middle / end); commission after charge = Rate/(100 + Rate) × profit.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	The correct treatment
Giving 6% interest on capital when the deed is silent	Not allowed. The 6% p.a. default belongs **only to a partner's loan** to the firm.
Computing interest on capital on the closing balance	Use **opening capital**; add mid-year capital only for the months it stayed in.
Treating a partner's salary as a charge against profit	It is an **appropriation** — it appears in the P&L Appropriation Account and needs profit.
Computing commission "after charging" as Rate × profit / 100	Use Rate/(100 + Rate) × profit — the commission must be inside the base.
Spreading a guarantee deficiency equally among all partners	Only **guarantors** bear it, in **their own ratio** (or the sacrificing ratio if stated).
Reopening the whole ledger for a past adjustment	One combined entry through **current accounts** — gains debited, losses credited.
Posting yearly adjustments into a fixed Capital Account	In the fixed system those entries live in the **Current Account**; capital stays constant.

The Whole Chapter on One Page

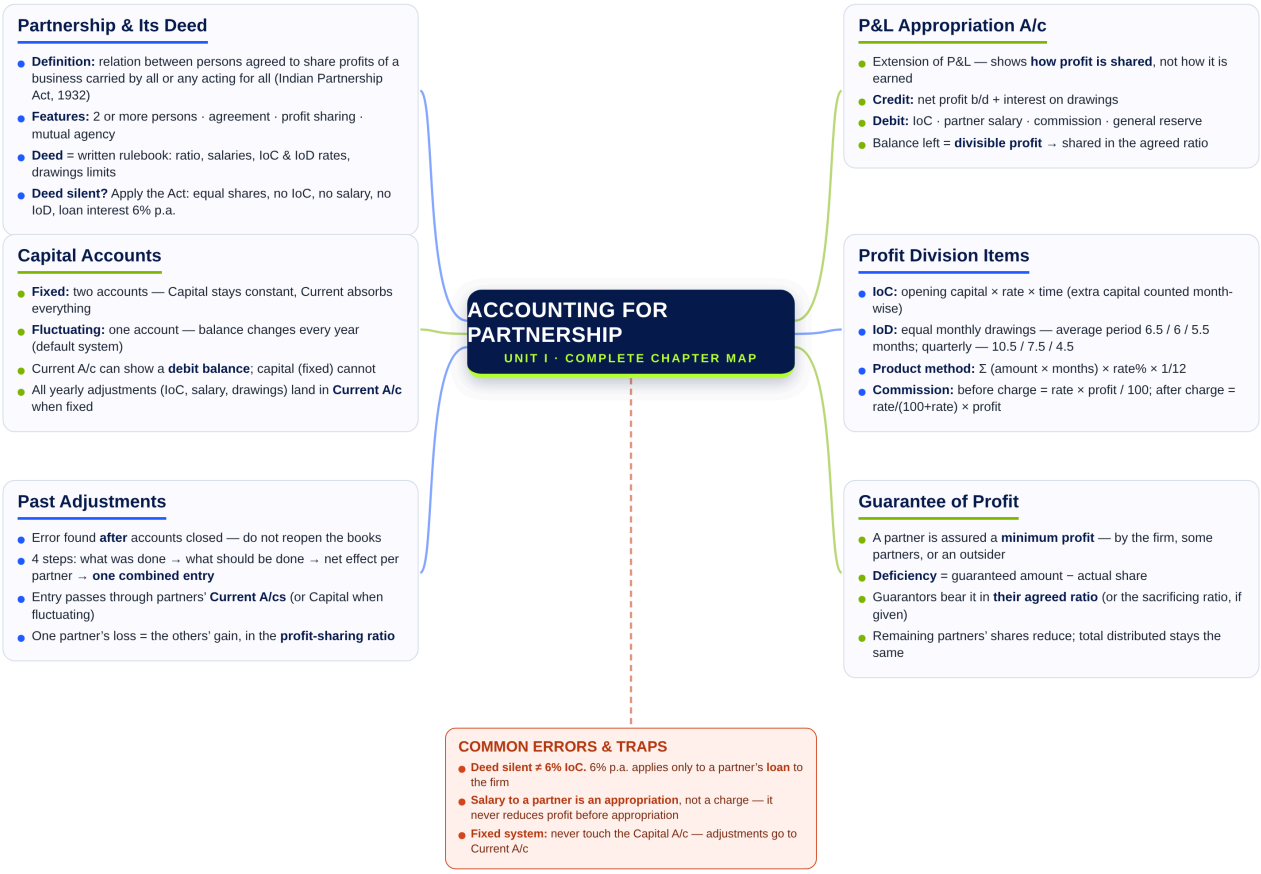


Figure 2: Chapter mindmap — every Unit I idea and the three traps that catch most students.

Practice Questions

Q1. The minimum number of persons required to form a partnership firm is:

(A) 7 (B) 2
(C) 10 (D) 50

Q2. The partnership deed is silent on everything, but a partner has lent ₹50,000 to the firm as a loan. The interest payable on this loan for one full year is:

(A) Nil (B) ₹1,500
(C) ₹3,000 (D) ₹6,000

Q3. Under the fixed capital system, a partner's salary for the year is credited to:

(A) Partner's Capital Account (B) Partner's Current Account
(C) Partner's Loan Account (D) General Reserve

Q4. Which of the following is a **charge** against profit rather than an appropriation?

(A) Interest on capital
(B) Partner's salary
(C) Interest on a partner's loan
(D) Transfer to general reserve

Q5. Z draws ₹2,000 on the first day of every month. If interest on drawings is charged at 6% p.a., the total interest for the year is:

(A) ₹720
(B) ₹780
(C) ₹840
(D) ₹1,440

Q6. A manager is entitled to a commission of 10% **after charging** such commission, on a net profit of ₹1,10,000. The commission is:

(A) ₹10,000
(B) ₹11,000
(C) ₹1,000
(D) ₹10,990

Q7. A, B and C share profits equally. Profit for the year is ₹36,000 and the firm guarantees C a minimum of ₹15,000. B's final share of profit is:

(A) ₹12,000
(B) ₹10,500
(C) ₹13,500
(D) ₹9,000

Q8. A past adjustment entry is being passed because interest on capital was omitted. The entry will **credit**

(A) the P&L Appropriation Account
(B) the partner or partners whose total share rises
(C) all partners' current accounts equally
(D) the Cash Account

Q9. Which item appears on the **credit** side of the Profit and Loss Appropriation Account?

(A) Interest on capital
(B) Interest on drawings
(C) Partner's salary
(D) Transfer to general reserve

Q10. A and B share profits 3:2 with capitals of ₹2,00,000 and ₹1,00,000. The deed allows interest on capital at 6% p.a. Profit for the year is ₹76,000. A's share of the divisible profit is:

(A) ₹34,800
(B) ₹45,600
(C) ₹30,000
(D) ₹29,000

Solutions

Sol. Q1. A partnership needs at least **two** persons (Indian Partnership Act, 1932). Seven and ten are company-board style numbers; 50 is the **maximum** allowed under the rules framed for the Companies Act, 2013.

Answer: (B)

Sol. Q2. Interest on a partner's loan is a **charge** and applies by default at 6% p.a. when the deed is silent: 50,000 × 6/100 × 12/12 = **₹3,000**.

Answer: (C)

Sol. Q3. In the fixed system the Capital Account only holds permanent capital changes. Salary is a yearly entitlement, so it is credited to the **Current Account**.

Answer: (B)

Sol. Q4. A loan from a partner must be rewarded even in a loss year — interest on it is a **charge**, shown in the P&L Account. Salary, interest on capital and reserve transfers are appropriations paid only out of profit.

Answer: (C)

Sol. Q5. Total drawings = 2,000 × 12 = ₹24,000. First-of-month drawings → average period 6.5 months: 24,000 × 6/100 × 6.5/12 = **₹780**.

Answer: (B)

Sol. Q6. After charging: commission = Rate/(100 + Rate) × profit = 10/110 × 1,10,000 = **₹10,000**. (Before charging would have been 11,000.)

Answer: (A)

Sol. Q7. Normal share: 36,000 ÷ 3 = ₹12,000 each. C's deficiency = 15,000 − 12,000 = ₹3,000, borne by A and B equally (1:1) — ₹1,500 each. B: 12,000 − 1,500 = **₹10,500**; C ends with 15,000.

Answer: (B)

Sol. Q8. The single adjustment entry credits the partner(s) who **should have received more** than they did — their current account rises. The appropriation account stays closed; no cash moves.

Answer: (B)

Sol. Q9. Interest on drawings is money the partners pay **to** the firm, so it is credited to the Appropriation Account. The other three options are all debit-side items.

Answer: (B)

Sol. Q10. Interest on capital: A — 2,00,000 × 6/100 = ₹12,000; B — 1,00,000 × 6/100 = ₹6,000. Divisible profit = 76,000 − 12,000 − 6,000 = ₹58,000. A's share = 58,000 × 3/5 = **₹34,800** (A's total with interest would be ₹46,800).

Answer: (A)

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